

MEMORANDUM OF LEASE

STATE OF LOUISIANA

PARISH OF LAFAYETTE

KNOW ALL MEN BY THESE PRESENTS This Lease, made and entered into as of the ____ day of _____, _____, by and between **WESTMART PROPERTIES, L.L.C.** herein called Landlord and _____, herein called Tenant.

WITNESSETH:

That, for the rents and upon the terms, covenants and provisions set forth in that certain lease of even date herewith (hereinafter called "said Lease") between Landlord and Tenant, Landlord has demised, leased and let, and does hereby demise, leased and let unto Tenant:

Those certain premises in the Westmart Properties, L.L.C., in the City of Lafayette, State and Parish aforesaid, containing an area of approximately 38,555 square feet. The boundaries and location of the Leased Premises are highlighted on the Site Plan marked Exhibit A, which depicts the arrangement of stores in the Shopping Center and which is attached hereto and by this reference specifically made a part hereof.

Said Lease is made for the rentals and upon each and all of the terms, covenants and provisions thereof, all of which are by this reference incorporated herein and made a part hereof, the same as though fully set forth herein.

This Lease is for a term of _____ years, the primary lease term beginning the sooner of (a) the date Tenant begins to transact business in the Leased Premises or (b) thirty (30) days from the first day on which the Leased Premises are available to Tenant for Tenant's work.

IN WITNESS WHEREOF, Landlord and Tenant have caused their names to be affixed hereunto as of the _____ day of _____, 20__.

WITNESSES: (Landlord)

LANDLORD: WESTMART PROPERTIES, L.L.C.

By: **Steven P. Hebert**

Its: **MANAGING PARTNER**

WITNESSES: (Tenant)

TENANT:

By: _____

Its:

LEASE

STATE OF LOUISIANA

PARISH OF LAFAYETTE

THIS LEASE MADE ON
THE ____ DAY OF _____, _____

BY AND BETWEEN

WESTMART PROPERTIES, L.L.C.

(hereinafter called "Landlord"),
whose mailing address for all notices under this Lease is
106 St. Nazaire Road
Broussard, La. 70518
and

(hereinafter called "Tenant"),
whose mailing address for all notices under this Lease is:

WITNESSETH:

SECTION 1.01. *Basic Lease Provisions* (A) DATE:

(C) ADDRESS OF
LANDLORD: 106 St, Nazaire Road
Broussard, LA 70518

(E) ADDRESS OF
LANDLORD'S AGENT:

- (Q) OPERATING COSTS (Section 4.01): Proportionate Share
- (R) REAL ESTATE TAX EXPENSE (Section 4.02): Proportionate Share
- (S) INSURANCE EXPENSE (Section 4.03): Proportionate Share
- (T) SECURITY DEPOSIT (Section 3.07): \$
- (U) GUARANTOR:
- (V) GUARANTOR'S ADDRESS: _____
- (W) ADDRESS FOR RENTAL PAYMENTS: 106 St. Nazaire Road, Broussard, LA 70518

SECTION 1.02. *Significance of a Basic Lease Provision*

Each reference in this "Lease" to any of the Basic Lease Provisions contained in Section 1.01 of this Article shall be deemed and construed to incorporate all of the terms thereof. The Basic Lease Provisions shall be construed in connection with and limited by any such reference.

SECTION 1.03. *Enumeration of Exhibits*

The exhibits enumerated in this Section and attached to this Lease are incorporated in this Lease by this reference and are to be construed as a part of this Lease.

- Exhibit A. Site Plan of Shopping Center.
- Exhibit B. Tenant's Construction Obligation
- Exhibit C. Design Criteria for Tenant's Sign
- Exhibit D. Acceptance of Leased Premises

SECTION 1.04. *Chart of Monthly Rental*

The following chart is provided as an estimate of Tenant's initial monthly payment broken down into its components. This chart, however, does not supersede the specific provisions contained elsewhere in this Lease:

Initial Minimum Guaranteed Rental (Sections 1.01 (o) and 3.01)	\$ 13.50 /square foot	\$ /month
Initial Operating Costs (Sections 1.01 (q) and 4.01)	\$. 1.00/square foot	\$ /month
Initial Real Estate Taxes and Other Real Estate Charges (Sections 1.01 (r) and 4.02)	\$ 1.00/square foot	\$ /month
Initial Payment for Insurance (Sections 1.01 (s) and 4.03)	\$.50 /square foot	\$ /month

ARTICLE II

DEMISE OF LEASED PREMISES AND QUIET ENJOYMENT

SECTION 2.01. *Description and General Obligation.*

Landlord owns or controls the land shown on Exhibit A, together with the certain proposed buildings and improvements thereon depicted, all of which constitute the Shopping Center. In consideration of the rents, covenants and agreements reserved and contained in this Lease, Landlord hereby leases and demises the Premises (hereinafter referred to as "Leased Premises") to Tenant and Tenant rents same, in order that Tenant shall continuously operate its retail business operations thereon in accordance with its Permitted Use, subject only to the terms and conditions herein contained and all liens, encumbrances, easements, restrictions, zoning laws, and governmental or other regulations affecting the Shopping Center. The approximate location of the Leased Premises is highlighted on the Site Plan attached hereto as Exhibit A.

The Leased Premises shall include only the appurtenances specifically granted in this Lease with Landlord specifically excepting and reserving for itself, the roof, the air space above the roof, the space below the floor, the side walls, the exterior portions of the Leased Premises (other than the store front), and the right to install, maintain, use, repair and replace pipes, ductwork, conduits, utility lines, and wires in the Leased Premises. Landlord agrees that where possible all work in the Leased Premises shall be performed in a manner which shall not unreasonably interfere with the normal business operations of Tenant.

SECTION 2.02. *Use of Additional Area*

The use and occupation by the Tenant of the Leased Premises shall include a revocable license to use in common with the others entitled thereto, the Common Areas, as may be designated from time to time by the Landlord, subject however to the terms and conditions of this Lease and to rules and regulations for the use thereof as prescribed from time to time by the Landlord. The purpose of the Site Plan is to show the approximate location of the Leased Premises. Landlord reserves the right at any time to relocate the building, automobile parking areas and other Common Areas; to change the number of buildings, buildings' dimensions, the number of floors in any of the buildings, store dimensions, common areas, the identity and type of other stores and tenancies, and the right to construct other buildings or improvements in the Shopping Center from time to time and to construct double-deck or elevated parking facilities, provided only that the general location and size of the Leased Premises, reasonable access to the Leased Premises and the parking facilities shall not be materially impaired. The term "Common Areas" as used in this Lease shall mean all facilities furnished in the Shopping Center and designated by Landlord for the general use, in common, of occupants of the Shopping Center, including Tenant thereunder, its officers, agents, employees, and customers, which facilities may include but are not limited to, the parking areas, streets, passenger vehicle roadways, sidewalks, walkways, service areas, roadways, loading platforms, drainage and plumbing systems, roof, canopies, ramps, landscaped areas and other similar facilities available for common use which may from time to time exist. Landlord shall have no obligation to permit any of the Common Areas to be operated beyond the hour designated by Landlord in Section 5.01 hereof. All Common Areas not within the Leased Premises, which Tenant may be permitted to use and occupy, are to be used and occupied under a revocable license, and if the amount of the Common Areas be diminished, Landlord shall not be subject to any liability nor shall Tenant be entitled to any compensation or diminution or abatement of rent, except as otherwise provided elsewhere herein, nor shall such diminution of the Common Areas be deemed constructive or actual eviction.

SECTION 2.03. *Construction/Possession*

Landlord and Tenant hereby agree that Tenant's taking possession of the Leased Premises shall be deemed conclusive evidence of Tenant's acceptance of the Leased Premises in satisfactory condition and in full compliance with all covenants and obligations of Landlord in connection therewith. Tenant agrees that it will accept possession of the Leased Premises in an "as is" condition and that no representations or inducements respecting the condition of the Leased Premises have been made to Tenant by Landlord or its authorized representatives. Similarly, Tenant hereby acknowledges that no promises to decorate, alter, repair, or improve the Leased Premises, either before or after the execution hereof, have been made by Landlord or its authorized representatives unless specifically enumerated in this Lease. Tenant further agrees that no representations have been made to Tenant that any other tenants have leased or will continue to lease space within the Shopping Center or that Tenant has any exclusive right to sell merchandise of any type and character (it being agreed and understood that Landlord shall have the right to lease other space in the Shopping Center to tenants selling merchandise similar to the merchandise to be sold by Tenant). Tenant shall perform all Tenant work in the Leased Premises in accordance with Exhibit B attached hereto and shall thereafter install such stock, fixtures and equipment and perform such other work as shall be necessary or appropriate in order to prepare the Leased Premises for the opening and continuous operation of its business thereon. Tenant shall observe and perform all of its obligations under this Lease and shall pay charges for temporary water, heating, cooling and lighting from the date upon which the Leased Premises are made available to Tenant for its work (or from the date when Tenant commences to perform its said work, if earlier) until the Rental Commencement Date. Landlord agrees not to lease to a hair salon similar to Tenant's operation while Tenant remains in the center.

SECTION 2.04. *Quiet Enjoyment*

Landlord covenants that Tenant, upon paying all sums due from Tenant to Landlord, as required in this Lease, and performing and observing all of Tenant's obligation under this Lease, shall peacefully and quietly have, hold and enjoy the Leased Premises and the appurtenances throughout the Lease Term without interference by the Landlord, subject, nevertheless, to the other terms and provisions of this Lease.

SECTION 2.05. *Statement of Lease Term*

When the commencement date and termination date of the Lease Term have been determined, Landlord and Tenant shall execute and deliver a written statement in recordable form specifying therein the Rental Commencement Date and termination date of the Lease Term. The Rental Commencement Date shall be defined as the sooner of Thirty (30) days after notice by Landlord that the Leased Premises are available to Tenant for Tenant's work, or the date Tenant opens for business in the Leased Premises.

SECTION 2.06. *Failure of Tenant to Open*

In the event that Tenant fails to open the Leased Premises for business fully fixtured, stocked and staffed on the commencement date of the Lease Term, then the Landlord shall have in addition to any and all remedies herein provided the right at its option to collect not only the Fixed Minimum but additional rent at the rate of 1/360th per day of the annual Fixed Minimum Rent.

SECTION 2.07. *Excuse of Landlord's Performance*

Anything in this Lease to the contrary notwithstanding, providing such cause is not due to the willful act or neglect of the Landlord, the Landlord shall not be deemed in default with respect to the performance of any of the terms, covenants and conditions of this Lease if same shall be due to any strike, lockout, civil commotion, war-like operation, invasion, rebellion, hostilities, military or usurped power, sabotage, governmental regulations or controls, inability to obtain any material, service or financing, through Act of God or other cause beyond the control of the Landlord.

SECTION 2.08. *Joint Opening*

Tenant shall cooperate in an endeavor to effect a joint opening of the Shopping Center and accordingly, if so requested by Landlord in writing, will delay the opening of its store until the joint opening date stated in such written request by Landlord; in such event, notwithstanding any provisions to the contrary herein contained, the Lease Term and Tenant's obligation to pay rent shall commence upon said joint opening date.

SECTION 2.09. *Storage/Office Space*

Tenant shall warehouse, store and/or stock in the Leased Premises only such goods, wares and merchandise as Tenant intends to offer for sale at retail at, in, from or upon the Leased Premises. This shall not preclude occasional emergency transfers of merchandise to other stores of Tenant, if any, not located in the Shopping Center. Tenant shall use for office, clerical or other non-selling purposes only such space in the Leased Premises as is from time to time reasonably required for Tenant's business in the Leased Premises. No auction, fire, going out-of-business or bankruptcy sales may be conducted in the Leased Premises without the previous written consent of Landlord.

SECTION 2.10. *Hazardous Substances*

A. Tenant shall not cause or allow the generation, treatment, storage, or disposal of Hazardous Substances on or near the Leased Premises. In the event Tenant uses any Hazardous Substances, Tenant shall dispose of such substances in accordance with all applicable Federal, state and local laws, regulations and ordinances.

B. Tenant agrees to indemnify, defend and hold harmless Landlord, its employees, agents, successors, and assigns, from and against any and all damage, claim, liability, or loss, including reasonable attorneys' and other fees, arising out of or in any way connected to the generation, treatment, storage or disposal of Hazardous Substances by Tenant, its employees, agents, contractors, or invitees, on or near the Leased Premises. Such duty of indemnification shall include, but not be limited to damage, liability, or loss pursuant to all Federal, state and local environmental laws, rules and ordinances, strict liability and common law.

C. Tenant agrees to notify Landlord immediately of any disposal of Hazardous Substances on or near the Leased Premises, of any discovery of Hazardous Substances on or near the Leased Premises, or of any notice by a governmental authority or private party alleging or suggesting that a disposal of Hazardous Substances on or near the Leased Premises may have occurred. Furthermore, Tenant agrees to provide Landlord with full and complete access to any documents or information in Tenant's possession or control relevant to the question of the generation, treatment, storage, or disposal of Hazardous Substances on or near the Leased Premises.

Notwithstanding the foregoing, Landlord represents and warrants that upon delivery of the Leased Premises to Tenant, there will not be any Hazardous Substances in the Leased Premises which are required, by law, to be removed. Landlord further agrees to remove from or neutralize, at Landlord's sole cost and expense, any Hazardous Substance in the Leased Premises which

- (i) is required by law to be removed or neutralized; and
- (ii) was not installed in or introduced to the Leased Premises by Tenant or Tenant's officers, agents, contractors, servants or employees.

In addition, should Tenant be required to close during Landlord's removal or neutralization of a Hazardous Substance located within the Leased Premises, all Rent and related charges shall be abated until Landlord completes its work and re-delivers the Leased Premises to Tenant. Tenant hereby agrees it will, at its sole cost and expense, remove, relocate the store, its trade fixtures, improvements and inventory to the extent necessary to permit Landlord to remove or neutralize the Hazardous Substance. Furthermore, Tenant hereby agrees Landlord shall not be liable for and is hereby released from any consequential damages, including lost profits, incurred by Tenant as a result of Landlord's removal or neutralization of any Hazardous Substance.

ARTICLE III RENT

SECTION 3.01. *Fixed Minimum Rent*

During the entire Lease Term, Tenant covenants and agrees to pay to Landlord, in lawful money of the United States, without any prior demand and without any deduction or setoff whatsoever, the Fixed Minimum Rent as provided in Section 1.01. The payment of Fixed Minimum Rent by Tenant to Landlord shall be made in advance on the first day of each calendar month during the Lease Term hereof, except that the first monthly installment shall be paid prior to the Rental Commencement Date. Fixed Minimum Rent for any partial calendar month during the Lease Term shall be prorated on a per diem basis.

SECTION 3.02. *Percentage Rent*

~~As a further inducement for Landlord's entering into this Lease with Tenant, Tenant agrees, in addition to its covenant to pay Fixed Minimum Rent, to pay to Landlord in the manner and upon the conditions and at the times hereinafter set forth, and as Percentage Rent hereunder for each Lease Year the greater of an amount equal to _____ (____%) percent of gross sales made by Tenant during each Lease Year or Fixed Minimum Rent (hereinafter referred to as "Percentage Rent"). Percentage Rent shall be due and payable on or before the tenth (10th) day of the first (1st) calendar month following the termination hereof. On or before the tenth (10th) day of each calendar month during the term hereof, Tenant shall furnish Landlord with a written statement certified to be correct by Tenant showing the amount of Gross Sales in the Leased Premises from the beginning of the Lease Year to the end of the previous calendar month or portion thereof. If, by the end of any such preceding calendar month, _____ (____%) percent of the Gross Receipts in the Leased Premises shall have exceeded the Minimum Rent payable for such Lease Year, Tenant shall pay Landlord the Percentage Rent due hereunder on the basis of such sales less the aggregate of Percentage Rent previously paid by Tenant during the Lease Year. Tenant hereby acknowledges that Tenant's business reputation, intended use of the Leased Premises, potential for payment of Percentage Rent and ability to generate patronage to the Leased Premises and the Shopping Center were all relied upon by Landlord and served as significant and material inducements contributing to Landlord's decision to execute this Lease with Tenant.~~

SECTION 3.03. *Gross Receipts Defined*

~~The term "gross receipts" is hereby defined to mean receipts from Gross Sales of Tenant and of all licensees, concessionaires and tenants of Tenant, from all business conducted upon or from the Leased Premises by Tenant and all others, and whether such sales be evidenced by check, credit charge account, exchange or otherwise, and shall include, but not be limited to, the amount received from the sale of goods, wares, merchandise, lottery tickets or other gaming proceeds and for services performed on or at the Leased Premises, together with the amount of all orders taken or received at the Leased Premises or sales completed by delivery at the Leased Premises, whether such orders be filled from the Leased Premises or elsewhere, and whether such sales be made by means of mechanical or other vending devices in the Leased Premises. If any one or more departments or other divisions of Tenant's business shall be sublet by Tenant or conducted by any person, firm or corporation other than Tenant, then there shall be included in Gross Receipts for the purpose of fixing the Percentage Rent payable hereunder, all the Gross Sales of such departments or divisions, whether such sales be made at the Leased Premises or elsewhere, in the same manner and with the same effect as if the business or sales of such departments and divisions of Tenant's business has been conducted by Tenant itself. Gross Receipts shall not include sales of merchandise for which cash has been refunded, or allowances made on merchandise claimed to be defective or unsatisfactory provided such sales have been included in Gross Sales. Gross Receipts shall not include the amount of any sales, use or gross receipts tax imposed by any federal, state, municipal or governmental authority directly on sales and collected from customers, provided that~~

~~the amount thereof is added to the selling price or absorbed therein, and paid by the Tenant to such governmental authority. No franchise or capital stock tax and no income or similar tax based upon income or profits as such shall be deducted from Gross Receipts in any event whatever. Each charge or sale upon installment or credit shall be treated as a sale for the full price in the month during which such charge or sale shall be made, irrespective of the time when Tenant shall receive payment (whether full or partial) therefor. No deduction shall be allowed for uncollected or uncollectible installment or credit accounts.~~

SECTION 3.04. *Tenant's Records*

For the purpose of ascertaining the amount payable as Percentage Rent, Tenant agrees to prepare and keep on the Leased Premises, for a period of not less than three (3) years following each of the dates upon which Tenant delivers to Landlord each of the written statements required in Section 3.02, adequate records for the period reported upon by such statement which shall show inventories and receipt of merchandise at the Leased Premises, and daily receipts from all sales and other transactions on or from the Leased Premises by Tenant and any other persons conducting any business upon or from the Leased Premises. Tenant shall record at the time of sale, in the presence of the customer, all receipts from sales or other transactions whether for cash or credit in a cash register or in cash registers having a cumulative sealed total, and having such other features as shall be approved by Landlord. Tenant further agrees to keep on the Leased Premises for at least three (3) years following the end of any Partial Lease Year and each Lease Year, the gross income, sales and occupation tax returns with respect to said Partial Lease Year and Lease Years and all pertinent original sales records. Pertinent original sales records shall include: (a) cash register tapes, including tapes from temporary registers; (b) serially numbered sales slips; (c) the originals of all mail orders at and to the Leased Premises; (d) the original records of all telephone orders at and to the Leased Premises; (e) settlement report sheets of transactions with sub-tenants, concessionaires and licensees; (f) the original records showing that merchandise returned by customers was purchased at the Leased Premises by such customers; (g) memorandum receipts or other records of merchandise taken out on approval; (h) such other sales records, if any, which would normally be examined by an independent accountant pursuant to accepted auditing standards in performing an audit of Tenant's sales; and (i) the records specified in (a) to (h) above of sub-tenants, assignees, concessionaires, or licensees. Landlord and Landlord's authorized representative shall have the right to audit and otherwise examine Tenant's records aforesaid during regular business hours.

SECTION 3.05. *Landlord's Right to Audit*

Landlord and Landlord's authorized representative shall have the right to audit and otherwise examine Tenant's records aforesaid during regular business hours. If such audit shall disclose a deficiency in Percentage Rent, Tenant shall promptly pay such deficiency. If such audit shows gross sales to be understated by two (2%) percent or more, Tenant shall pay the cost of such audit in addition to any deficiency, and if such audit shows gross sales to be understated by two (2%) percent or more, Landlord shall have the right to terminate this Lease upon five (5) days' written notice to Tenant, in addition to any other remedies provided for Tenant's default hereunder. If within three (3) days of receipt of written notification of inadequate records from Landlord, Tenant fails to provide Landlord and Landlord's authorized representative with adequate records, this failure shall constitute an Event of Default as provided for herein under Article XI. In addition to the remedies provided to Landlord in Article XI, Tenant shall be obligated to pay a penalty to Landlord of One Hundred and No/100 (\$100.00) Dollars per day, effective upon the date of receipt of notification from Landlord referred herein above and will terminate upon the date Tenant provides records which Landlord and Landlord's authorized representative deem adequate.

SECTION 3.06. *Reports by Tenant*

In addition to the written statement of Gross Receipts required pursuant to Section 3.02, Tenant shall submit to Landlord on or before the sixtieth (60th) day following the end of each Lease Year at the place then fixed for the payment of rent a written statement signed by Tenant and certified by it to be true and correct, by either a certified public accountant or a financial officer of Tenant reasonably acceptable to Landlord, showing in accurate detail the amount of Gross Receipts during the preceding Lease Year. The statements referred to herein shall be in such form and style and contain such details and breakdown as Landlord may reasonably determine.

SECTION 3.07. *Security Deposit*

Tenant has concurrently with the execution of this Lease deposited with Landlord the sum set forth in Section 1.01 (hereinafter sometimes referred to as the "Security Deposit") as security for the full performance of every provision of this Lease by Tenant. Landlord may apply all or any part of the Security Deposit to cure any default by Tenant hereunder, and Tenant shall promptly restore to the Security Deposit all amounts so applied upon invoice. If Tenant shall fully perform each provision of this Lease, any portion of the Security Deposit which has not been appropriated by Landlord in accordance with the provisions hereof shall be returned to Tenant without interest within thirty (30) days after the expiration of the Lease Term. Landlord may deliver the funds deposited hereunder by Tenant to the purchaser or transferee of Landlord's interest in the Leased Premises in the event that such interest be sold or transferred, and, in the event the purchaser or transferee assumes the obligations of Landlord, thereupon Landlord shall be discharged from any further liability with respect to such deposit.

SECTION 3.08. *Additional Charges*

In addition to Fixed Minimum and Percentage Rent, all other payments, including but not limited to Operating Costs, to be made by Tenant, to Landlord, shall be deemed to be and shall become "Additional Rent" hereunder whether or not the same be designated as such, and shall be due and payable on demand together with any interest thereon; and Landlord shall have the same remedies for failure to pay same as for a non-payment of Minimum or Percentage Rent. (Minimum Rent, Percentage Rent and Additional Rent are hereinafter sometimes collectively referred to as "Rent".)

If Tenant shall fail to make any payment of Rent when due as required under the applicable provisions of this Lease, Tenant shall pay a late charge in accordance with Section 3.09 hereof. All payments for Rent shall be made to Landlord's Agent as designated in Article I, or at such other place as may be designated by Landlord.

SECTION 3.09. *Past Due Rent and Additional Rent*

If Tenant shall fail to pay, when the same is due and payable, any amounts due under this Lease, or if any payment is by check which is returned for insufficient funds, then in addition to the past due amount, Tenant shall pay to Landlord one of the following (the choice to be at the sole option of Landlord unless one of the choices is improper under applicable law, in which event the other alternative will automatically be deemed to have been selected): (a) a late charge in an amount equal to ten (10%) percent of the rental then due, in order to compensate Landlord for its administrative and other overhead expenses; or (b) interest on the rental then due at the maximum contractual rate which could legally be charged in the event of a loan of such rental to Tenant (but in no event to exceed 12% per month), such interest to accrue continuously on any unpaid balance due to Landlord by Tenant during the period commencing with the rental due date and terminating with the date on which Tenant makes full payment of all amounts owing to Landlord at the time of said payment. Any such late charge or interest payment shall be payable as additional rental under this lease, shall not be considered as a deduction from percentage rental, and shall be payable immediately on demand.

If Tenant fails in two consecutive months to make rental payments within ten days after due, Landlord, in order to reduce its administrative costs, may require, by giving written notice to Tenant (and in addition to any late charge or interest accruing pursuant to the above, as well as any other rights and remedies accruing

pursuant to Article XI below, or any other provision of this Lease or at law), that minimum guaranteed rentals are to be paid quarterly in advance instead of monthly and that all future rental payments are to be made on or before the due date by cash, cashier's check, or money order and that the delivery of Tenant's personal or corporate check will no longer constitute a payment of rental as provided in this Lease. Any acceptance of a monthly rental payment or of a personal or corporate check thereafter by Landlord shall not be construed as a subsequent waiver of said rights.

ARTICLE IV OPERATING COSTS, REAL ESTATE TAXES AND INSURANCE PREMIUMS

SECTION 4.01. *Operating Costs*

During each month of the Lease Term, Tenant shall pay, along with its monthly installments of Fixed Minimum Rent and without demand, deduction or set off, as Additional Rent to Landlord, Tenant's proportionate share of all costs incurred by Landlord in maintaining, repairing, operating and insuring the portions of the Shopping Center which are the responsibility of Landlord hereunder (herein sometimes referred to as the "Operating Costs"), including, without limitation, the total costs of operating, gardening and landscaping, striping, removing garbage and other refuse or trash, removing snow, and maintaining equipment of the Shopping Center, paving and maintaining the parking area and walk ways, cutting and caring for the lawns and garden areas, cleaning ditches and adjacent areas and any and all additions, improvements, alterations, and repairs which may at any time during the Lease Term be required or recommended by any lawful authorities, insurance underwriters, Inspection Rating Bureaus, or Insurance Inspectors, and costs and expenses including salaries of furnishing or rendering of any of the facilities or services, repairing, lighting, cleaning, maintaining, painting, securing, managing and insuring (including liability insurance for personal injury, wrongful arrest or detainer, death and property damage).

Tenant's proportionate share of Operating Costs shall be computed by multiplying Operating Costs by a fraction, the numerator of which shall be the number of square feet of floor area of the Leased Premises and the denominator of which shall be the number of square feet of gross leasable area of the Shopping Center then actually leased. Tenant shall pay its proportionate share of Operating Costs in advance based on estimates made by Landlord from time to time but not more frequently than twice during any calendar year. Estimates shall be revised on or before July of each Lease Year on the basis of the estimated Operating Costs for each calendar year. Should Operating Costs be underestimated, Tenant shall pay any deficiency along with the payment of Minimum Rent next due and thereafter pay its adjusted proportionate share of Operating Costs in equal monthly installments as herein provided. Any excess payments shall be credited against the payment of Operating Costs next due.

SECTION 4.02

During each month of the Lease Term, Tenant shall pay, along with its monthly installments of Fixed Minimum Rent and without demand, deduction or set off, as additional rent to Landlord, Tenant's share of all cost incurred by Landlord for all real property taxes, public charges and assessments of whatsoever nature directly or indirectly assessed or imposed upon the land, buildings, equipment and improvements constituting the Shopping Center and the rents therefrom, but not limited to all real property taxes, rates, duties and assessments, local improvement taxes, import charges or levies, whether general or special, that are levied, charged or assessed against the Shopping Center by any lawful taxing authority whether federal, state, county, municipal, school or otherwise (other than income, inheritance and franchise taxes thereon).

Tenant's proportionate share shall be that portion of said Real Estate Taxes and Other Real Estate Charges computed by that fraction described in Section 4.01 hereof.

Tenant shall pay its proportionate share of Real Estate Taxes and Other Real Estate Charges in advance based on estimates made by Landlord from time to time but not more frequently than twice during any calendar year. Estimates shall be revised on July of each Lease Year on the basis of the estimated Real Estate Taxes

and Other Real Estate Charges each calendar year. Should Real Estate Taxes and Other Real Estate Charges be underestimated, Tenant shall pay any deficiency, along with the payment of Minimum Rent next due and thereafter pay its adjusted proportionate share of Real Estate Taxes and Other Real Estate Charges in equal monthly installments as herein provided. Any excess payments shall be credited against the payment of Real Estate Taxes and Other Real Estate Charges next due.

SECTION 4.03. *Insurance Premiums*

During each month of the Lease Term, Tenant shall pay, along with its monthly installments of Fixed Minimum Rent and without demand, deduction or set off, as additional rent to Landlord, Tenant's share of all cost incurred by Landlord for all insurance and extended coverage against fire, theft, flood and other casualty, rent insurance, Workmen Compensation Insurance, Fidelity Bonds for Personnel and Vandalism and Malicious Mischief Insurance, for the land, buildings, equipment and improvements constituting the Shopping Center and the rents therefrom.

Tenant's proportionate share shall be that portion of said Insurance Premium charges computed by that fraction described in Section 4.01 hereof.

Tenant shall pay its proportionate share of Insurance Premiums in advance based on estimates made by Landlord from time to time but not more frequently than twice during any calendar year. Estimates shall be revised on July of each Lease Year on the basis of the estimated Insurance Premiums for each premium year. Should Insurance Premiums be underestimated, Tenant shall pay any deficiency along with the payment of Minimum Rent next due and thereafter pay its adjusted proportionate share of Insurance Premiums in equal monthly installments as herein provided. Any excess payments shall be credited against the payment of Insurance Premium charges next due.

SECTION 4.04. *Property Tax Consulting*

Landlord or its duly designated agent, shall have the right to retain the services of a property tax consulting firm for the purpose of reducing property taxes for the Shopping Center. This fee is only due when and if actual savings are substantiated by the tax consulting firm. When and if this occurs, Tenant agrees to pay its pro rata share as defined in this section of the property tax consulting fee. When and if Tenant is billed for its pro rata share of any tax savings, Landlord shall substantiate Tenant's invoice by including a copy of the total invoice from the property tax consulting firm.

ARTICLE V CONTINUOUS OPERATION

SECTION 5.01. *Continuous Operation*

Tenant hereby covenants and agrees: (i) to operate in the Leased Premises only under the Trade Name set forth in Section 1.01 and under no other name or Trade Name whatsoever without Landlord's prior written consent, (ii) to continuously use, occupy and operate the whole of the Leased Premises for the retail sale of its goods or services in accordance with its Permitted Use (Tenant hereby agreeing to minimize the space utilized for non-sales activities to ten percent (10%) or less of the area of the Leased Premises), opening the Leased Premises for business on each business day and remaining open for at least eight (8) hours each such business day or as established by Landlord in writing to Tenant and shall operate throughout the year, and shall not remain closed for business for reasons within its control for any consecutive period exceeding one (1) week, it being understood that closing necessitated by reason of fire, windstorm or other casualty or major remodeling shall not be prohibited hereunder, and for no other purpose whatsoever, and (iii) not to own, operate or be financially interested in, either directly or indirectly (by itself or with others), a business like or similar to the business permitted to be conducted hereunder, or which employs the same or similar Trade Name, within a radius of three (3) miles of the perimeter of the Shopping Center, except those for which Tenant has in operation as of the date hereof. Without limiting Landlord's other available remedies, in the event Tenant should violate this covenant above, Landlord may, at its option, (a) obtain a court order for specific performance of the operating covenant as set forth in this Section 5.01, or (b) require Tenant to pay as liquidated damages, as a reasonable estimate of damages suffered by Landlord due to loss of percentage rent, the damage to the character and quality of the Shopping Center and other non-quantifiable adverse effects caused by Tenant's failure to continually operate, a sum equal to double the minimum rental for the remainder of unexpired portion of the term, or (c) to cancel this Lease effective immediately or as of any date which Landlord may elect, and in the event Tenant should violate this (iii) covenant above, Landlord may, at its option, (a) terminate this Lease upon thirty (30) days' written notice to Tenant, (b) enjoin the operation of the violative store, or (c) include all Gross Sales generated by any violative store as Gross Receipts in calculating the Percentage Rent due under this Lease.

ARTICLE VI UTILITIES

SECTION 6.01. *Tenant Responsibilities*

Tenant shall make application for, obtain, pay for, and be solely responsible for all utilities required, used or consumed in the Leased Premises, including, but not limited to, gas, water (including water for domestic uses and for fire protection), telephone, electricity, sewer service, garbage collection services, HVAC maintenance services, or any similar service (herein sometimes collectively referred to as the "Utility Services"). In the event that any charge for any utility supplied to the Leased Premises is not paid by Tenant to the utility supplier when due, then Landlord may, but shall not be required to, pay such charge for and on behalf of Tenant, with any such amount paid by Landlord being repaid by Tenant to Landlord, as Additional Rent, promptly upon demand. Additionally if Landlord shall elect to supply any of the Utility Services, then Tenant shall pay to Landlord the cost of its utility consumption, along with the cost of installing separate metering devices, if necessary. Landlord agrees that the cost to Tenant of any Landlord-provided utility service shall not exceed the amount Tenant would have had to pay had it independently obtained said utility service from the local utility supplier. Landlord and Tenant hereby agree that Landlord shall not be liable for any interruptions or curtailment in utility services due to causes beyond its control or due to Landlord's alteration, repair or improvement of the Leased Premises or the Shopping Center.

ARTICLE VII
INSTALLATION, MAINTENANCE, OPERATION AND REPAIR

SECTION 7.01. *Tenant Installation*

Tenant shall, at Tenant's sole expense, install all trade fixtures and equipment required to operate its business (all of which shall be of first-class quality and workmanship). All trade fixtures, signs, or other personal property installed in the Leased Premises by Tenant shall remain the property of Tenant and may be removed at any time provided that Tenant is not in default hereunder and provided the removal thereof does not cause, contribute to, or result in Tenant's default hereunder; and further provided that Tenant shall at Tenant's expense promptly repair any damage to the Leased Premises resulting from the removal of personal property. The term "trade fixtures" as used herein shall not include carpeting, floor coverings, attached shelving, lighting fixtures, wall coverings, or similar Tenant improvements which shall become the property of Landlord upon surrender of the Leased Premises by Tenant for whatever reason. Tenant shall not attach any fixtures or articles to any portion of the Leased Premises, nor make any alterations, additions, or sprinkler system revisions, improvements, or changes or perform any other work whatsoever in and to the Leased Premises, other than minor interior, cosmetic and decorative changes which exceed One Thousand and No/100 (\$1,000.00) Dollars in the aggregate per Lease Year, without in each instance obtaining the prior written approval of Landlord. Any alterations, additions, improvements, changes to the Leased Premises or other work permitted herein shall be made by Tenant at Tenant's sole cost and expense in the manner set forth in Exhibit B.

Tenant shall not paint or decorate any part of the exterior of the Leased Premises without first obtaining Landlord's written approval of such paintings or decoration; and Tenant agrees to remove promptly upon order of Landlord any paint or any such decorations which has been applied to or installed upon the exterior of the Leased Premises without Landlord's prior written approval, or to take such other action with reference thereto as Landlord may direct.

SECTION 7.02. *Maintenance by Tenant*

Except as provided in Section 7.06 hereof, Tenant shall, at Tenant's expense, at all times keep the Leased Premises (including exterior entrances and doors, interior entrances and doors, door frames, walls, floors, windows, glass, plate glass and storefront) and all partitions, door fixtures, equipment and appurtenances thereof including lighting, heating and plumbing fixtures, sewerage facilities and drains within the Leased Premises including free flow up to the main sewerage lines and any air conditioning system which serves the Leased Premises in good order, condition, and repair, clean, sanitary, and safe, including the replacement of equipment, fixtures, and all broken window or door plate glass (with glass of the same size and quality) and shall, in a manner satisfactory to Landlord, decorate and paint the Leased Premises when necessary to maintain at all times a clean and sightly appearance. Grease traps and all outfall lines up to the point of the main sewer will also be the responsibility of Tenant. In the event Tenant fails to perform any of its obligations as required hereunder, Landlord may, but shall not be required to, perform and satisfy same with Tenant hereby agreeing to reimburse Landlord, as Additional Rent, for the cost thereof promptly upon demand. Tenant shall make any and all additions, improvements, alterations, and repairs to or on the Leased Premises including, without limitation, all modifications to any fire sprinkler system located within the Leased Premises (other than those required for the structural repair and maintenance of the roof, foundation, or exterior walls) which may at any time during the Lease Term be required or recommended by any lawful authorities, insurance underwriters, Inspection Rating Bureaus, or insurance inspectors designated by Landlord subject to Landlord's prior written approval. Landlord may, but shall not be obligated to, deal directly with any authorities respecting their requirements for additions, improvements, alterations, or repairs. All such work shall be performed in a good and workmanlike manner in accordance with the requirements set forth in Exhibit B. All Tenant work (as set forth in Exhibit B) and all such additions, improvements, and alterations thereto shall become the property of the Landlord upon the expiration or earlier termination of this Lease.

SECTION 7.03. *Signs, Awnings and Canopies*

Tenant accepts and agrees to follow the Design Criteria for Tenant's sign in Exhibit C attached hereto and made a part of this Lease Agreement. Tenant also agrees that Tenant will install Tenant's sign on or before the date Tenant opens for business in the Leased Premises. Tenant's failure to install its sign within the specified time period shall be considered an event of default.

Tenant shall install and maintain at all times displays of merchandise in the show windows of the Leased Premises and Tenant agrees promptly upon order of Landlord to remove all or any part of such displays as are reasonably objectionable to Landlord.

Tenant will not place or suffer to be placed or maintained on any exterior door, wall or window of the Leased Premises any sign, awning or canopy, advertising matter or other visual obstruction of any kind, and will not place or maintain any exterior lighting, plumbing fixture or protruding object or any decoration, lettering or advertising matter on the glass of any window or door of the Leased Premises without first obtaining Landlord's written approval and consent. Tenant further agrees to maintain such sign, awning, canopy, decoration, lettering, advertising matter or other things as may be approved in good condition and repair at all times.

At the termination of the Lease, Tenant shall be responsible for the removal and cost thereof of its sign(s). Upon the removal of its sign(s), Tenant shall also remove the transformer and wiring on the inside as well as outside of the fascia. All power to the exterior sign shall be terminated prior to removal.

SECTION 7.04. *Tenant Shall Discharge All Liens*

Tenant will not create or permit to be created or to remain, and will discharge within ten (10) days after the imposition thereof, any lien (including, but not limited to, the liens of mechanics, laborers or materialmen for work or materials alleged to be done or furnished in connection with the Leased Premises), encumbrance or other charge upon the Leased Premises or any part thereof, upon Tenant's leasehold interest therein, provided, that Tenant shall not be required to discharge any such liens, encumbrances or charges as may be placed upon the Leased Premises by the act of Landlord.

Tenant shall have the right to contest, in good faith and by appropriate legal proceedings, the validity or amount of any mechanics', laborers' or materialmen's lien or claimed lien. In the event of such contest, Tenant shall give to Landlord reasonable security as may be amended by Landlord to insure payment thereof and to prevent any sale, foreclosure or forfeiture of the Leased Premises or any part thereof by reason of such non-payment. On final determination of such lien or such claim for lien, Tenant will immediately pay any judgment rendered, with all proper costs and charges, and shall have such lien released or judgement satisfied at Tenant's expense, and upon such payment and release of satisfaction, Landlord will promptly return to Tenant such security as Landlord shall have received in connection with such contest. Landlord reserves the right to enter the Leased Premises to post and keep posted notices of non-responsibility for any such lien. Tenant will pay, protect and indemnify Landlord within ten (10) days after demand thereof, from and against all liabilities, losses, claims, damages, costs and expenses, including reasonable attorney's fees, incurred by Landlord by reason of the filing of any lien and/or the removal of same.

SECTION 7.05. *Surrender of Leased Premises*

At the termination of this Lease, Tenant shall surrender the Leased Premises in the same condition (subject to the removals hereinafter required) as the Leased Premises were on the date the Tenant opened the Leased Premises for business to the public, reasonable wear and tear and loss due to insured casualty excepted, and shall surrender all keys for the Leased Premises to Landlord at the place then fixed for the payment of rent, and shall inform Landlord of all combinations on locks, safes and vaults, if any, in the Leased Premises. Tenant during the last thirty (30) days of such term shall remove all its trade fixtures, and, to the extent required by Landlord by written notice, any other installation, alterations or improvements before surrendering the Leased Premises as aforesaid and shall repair any damage to the Leased Premises caused thereby. Tenant's obligation to observe or perform this covenant shall survive the expiration or other termination of the Lease Term.

SECTION 7.06. *Maintenance by Landlord*

Landlord shall keep the exterior supporting walls, the foundations, roof, gutters and downspouts in reasonable repair provided that Tenant shall promptly give Landlord written notice of the necessity for such repairs, and provided that the damage thereto shall not have been caused by negligence of Tenant, its concessionaires, officers, agents, employees, licensees, or invitees; in which event Tenant shall be responsible therefor. Landlord shall have no obligation to repair, maintain, alter, or perform any other acts with reference to the Leased Premises or any part thereof, or any plumbing, heating, ventilating, electrical, air conditioning, or other mechanical installations therein.

SECTION 7.07. *Heating, Ventilation and Air Conditioning Maintenance*

Tenant shall be responsible for preventive maintenance on the heating, ventilation and air conditioning equipment (HVAC) for the Leased Premises. Tenant shall have the entire heating, ventilation and air conditioning equipment inspected by a qualified or licensed HVAC contractor at least once every six (6) months. The inspections shall be completed before March 15 and September 15 each year. Tenant shall provide Landlord with a copy of the invoice or report from the inspecting company, giving evidence that the system has been inspected.

Tenant shall replace all filters in the HVAC system at least once every eight (8) weeks.

ARTICLE VIII OPERATING RULES, REGULATIONS, ADVERTISING BY TENANT

SECTION 8.01. *Rules and Regulations*

Tenant agrees to comply with and observe the following rules and regulations:

- (1) All loading and unloading of goods shall be done only at such times, in the areas, and through the entrances designated for such purposes by Landlord.
- (2) The delivery or shipping of merchandise, supplies and fixtures to and from the Leased Premises shall be subject to such rules and regulations as in the judgment of Landlord are necessary for the proper operation of the Leased Premises or Shopping Center.
- (3) All garbage and refuse shall be kept in the kind of container specified by Landlord, and shall be placed outside of the Leased Premises prepared for collection in the manner and at the time and places specified by Landlord. If Landlord shall provide or designate a service for picking up refuse and garbage, Tenant shall use same at Tenant's cost. Tenant shall pay the cost of removal of any of Tenant's refuse or rubbish.
- (4) No radio or television or other similar device shall be installed without first obtaining in each instance Landlord's consent in writing. No aerial shall be erected on the roof or exterior walls of the Leased Premises or on the grounds, without in each instance, the written consent of Landlord. Any aerial so installed without such written consent shall be subject to removal without notice at any time.

(5) No loud speakers, televisions, phonographs, radios, or other devices shall be used in a manner so as to be heard or seen outside of the Leased Premises without the prior written consent of Landlord.

(6) If the Leased Premises are equipped with heating facilities separate from those in the remainder of the Shopping Center, Tenant shall keep the Leased Premises at a temperature sufficiently high to prevent freezing of water in pipes and fixtures.

(7) The exterior areas immediately adjoining the Leased Premises shall be kept clean and free from snow, ice, dirt and rubbish by Tenant to the satisfaction of Landlord, and Tenant shall not place or permit any obstructions or merchandise in such areas.

(8) Tenant and Tenant's employees shall park their cars only in those parking areas designated for that purpose by Landlord. Tenant shall furnish Landlord with State automobile license numbers assigned to Tenant's car or cars, and cars of Tenant's employees, within five (5) days after taking possession of the Leased Premises and shall thereafter notify Landlord of any changes within five (5) days after such changes occur. In the event that Tenant or its employees fail to park their cars in designated parking areas as aforesaid, then Landlord at its option shall charge Tenant Ten and No/100 (\$10.00) Dollars per day per car parked in any area other than those designated, as and for liquidated damage.

(9) The plumbing facilities shall not be used for any other purpose than that for which they are constructed, and no foreign substance of any kind shall be thrown therein, and the expense of any breakage, stoppage, or damage resulting from a violation of this provision shall be borne by Tenant who shall, or whose employees, agents or invitees shall, have caused it.

(10) Tenant shall use at Tenant's cost such pest extermination contractor as Landlord may direct and at such intervals as Landlord may require.

(11) Tenant shall not burn any trash or garbage of any kind in or about the Leased Premise, the Shopping Center, or within one mile of the outside property lines of the Shopping Center.

(12) Tenant shall not make noises, cause disturbances, or create odors which may be offensive to other tenants of the Shopping Center or their officers, employees, agents, servants, customers or invitees.

(13) Tenant shall not commit or suffer to be committed any waste upon the Leased Premises or any nuisance or other act or thing which may disturb the quiet enjoyment of any other tenant in the building in which the Leased Premises may be located, or in the Shopping Center, or which may disturb the quiet enjoyment of any person within five hundred feet of the boundaries of the Shopping Center.

(14) Tenant shall, at Tenant's sole cost and expense, comply with all of the requirements of all county, municipal, state, federal and other applicable governmental authorities, now in force, or which may hereafter be in force, pertaining to the Leased Premises, and shall faithfully observe in the use of the Leased Premises all municipal and county ordinances and state and federal statutes now in force or which may hereafter be in force, and all regulations, orders and other requirements issued or made pursuant to any such ordinances and statutes.

(15) No over-night lodging shall be permitted in the Leased Premises.

(16) Tenant and Tenant's employees and agents shall not solicit business in the parking lot or other common areas, nor shall Tenant distribute any handbills or other advertising matter in automobiles parked in the parking areas or in other common areas.

SECTION 8.02. *Advertising by Tenant*

Tenant, at its sole expense agrees to refer to the Shopping Center by the name provided in Section 1.01(J) in designating the location of the Leased Premises in all newspaper or other advertising, stationery, other printed material, and in all other references to location; to include the address and identity of its business activity in the Leased Premises in all advertisements made by the Tenant in which the address and identity of any other business activity of like character conducted by Tenant with the city or trade area in which the Shopping Center is located shall be mentioned; and to use, in such advertising only the Tenant's trade name provided in Section 1.01(I).

ARTICLE IX INSURANCE

SECTION 9.01. *Tenant's Coverage:*

Tenant shall maintain at its sole expense during the term hereof, public liability insurance covering the Leased Premises and product liability coverage in an amount of \$1,000,000.00 for injury and/or death to any one person and \$2,000,000.00 for injury and/or death to any number of persons in any one accident and property damage insurance in an amount of \$1,000,000.00 in companies satisfactory to Landlord in the joint names of Landlord and Tenant. Tenant shall also keep in force rent insurance for a twelve (12) month period as well as fire and extended coverage insurance for the full replacement value of Tenant's improvements and Tenant's property, including, but not limited to, inventory, trade fixtures, furnishings and other personal property. Tenant will cause such insurance policies to name Landlord and its duly designated agent as an additional insured and to be written so as to provide that the insurer waives all right of recovery by way of subrogation against Landlord in connection with any loss or damage covered by the policy. In addition, Tenant shall keep in force workman's compensation or similar insurance to the extent required by law. Tenant shall deliver said policies or certificates thereof to Landlord at least five (5) days prior to the commencement of the term. Should Tenant fail to effect the insurance, called for herein, Landlord may, at its sole option, procure said insurance and pay the requisite premiums, in which event, Tenant shall pay all sums so expended to Landlord, as Additional Rent following invoice. Each insurer under the policies required hereunder shall agree by endorsement on the policy issued by it or by independent instrument furnished to Landlord that it will give Landlord thirty (30) days' prior written notice before the policy or policies in question shall be altered or canceled.

SECTION 9.02. *Increase in Fire Insurance Premium*

Tenant shall not keep, use, sell or offer for sale in or upon the Leased Premises any article which may be prohibited by the standard form of fire insurance policy. Tenant agrees to pay any increase in premiums for fire and extended coverage insurance that may be charged during the Lease Term on the amount of such insurance which may be carried by Landlord on the Leased Premises or the Shopping Center, resulting from the type of merchandise sold by Tenant in the Leased Premises, whether or not Landlord has consented to the same. In determining whether increased premiums are the result of Tenant's use of the Leased Premises, a schedule, issued by the organization making the insurance rate on the Leased Premises, showing the various components of such rate, shall be conclusive evidence of the several items and charges which make up the fire insurance rate on the Leased Premises.

In the event Tenant's occupancy causes any increase of premium for the fire and/or casualty rates on the premises, Tenant shall pay the additional premium on the fire and/or casualty insurance policies by reason thereof. The Tenant also shall pay, in such event, any additional premium on the rent insurance policy that may be carried by the Landlord for its protection against rent loss through fire. Bills for such additional premiums shall be rendered by Landlord to Tenant at such times as Landlord may elect, and shall be due from, and payable by, Tenant when rendered, and the amount thereof shall be deemed to be, and be paid as, Additional Rent.

SECTION 9.03. Indemnification

Tenant hereby agrees to indemnify and hold Landlord harmless from any and all claims, damages, liabilities or expenses arising out of (a) Tenant's use of the Leased Premises or the Shopping Center, (b) any and all claims arising from any breach or default in the performance of any obligation of Tenant, (c) any act, omission or negligence of Tenant, its agents or employees. Tenant further releases Landlord from liability for any damages sustained by Tenant or any other person claiming by, through or under Tenant due to the Leased Premises, the Center, or any part thereof or any appurtenances thereto becoming out of repair, or due to the happening of any accident, including, but not limited to, any damage caused by water, snow, windstorm, tornado, gas, steam, electrical wiring, sprinkler system, plumbing, heating and air conditioning apparatus and from any acts or omissions of co-tenants or other occupants of the Center. Landlord shall not be liable for any damage to or loss of Tenant's personal property, inventory, fixtures or improvements, from any cause whatsoever, except the affirmative acts of proven negligence of Landlord, and then only to the extent not covered by insurance to be obtained by Tenant in accordance with Section 9.01 hereof. Tenant shall protect and hold Landlord harmless and shall pay all costs, expenses and reasonable attorney's fees incurred or paid by Landlord in connection with Section 9.03.

ARTICLE X FIRE AND CONDEMNATION

SECTION 10.01. *Fire, Explosion or Other Casualty.*

In the event the Leased Premises are damaged by fire, explosion or any other casualty to an extent which is less than fifty percent (50%) of the cost of replacement of the Leased Premises, the damage, except as provided in Section 10.02, shall promptly be repaired by Landlord at Landlord's expense, provided that Landlord shall not be obligated to expend for such repair an amount in excess of the insurance proceeds recovered or recoverable as a result of such damage, and that in no event shall Landlord be required to repair or replace Tenant's stock in trade fixtures, furniture, furnishings, floor coverings and equipment. In the event of any such damage and (a) Landlord is not required to repair as hereinabove provided, or (b) the Leased Premises shall be damaged to the extent of fifty percent (50%) or more of the cost of replacement, or (c) the building of which the Leased Premises are a part is damaged to the extent of twenty-five percent (25%) or more of the cost of replacement, or (d) the buildings (taken in the aggregate) in the Shopping Center shall be damaged to the extent of more than twenty-five percent (25%) or more of the cost of replacement, Landlord may elect either to repair or rebuild the Leased Premises or the building or buildings, or to terminate this Lease upon giving notice of such election in writing to Tenant within ninety (90) days after the occurrence of the event causing the damage. If the casualty, repairing, or rebuilding shall render the Leased Premises untenable, in whole or in part, and the damage shall not have been due to the default or neglect of Tenant, a proportionate abatement of the Fixed Minimum Rent shall be allowed from the date when the damage occurred until the date Landlord completes its work, said proportion to be computed on the basis of the relation which the gross square foot area of the space rendered untenable bears to the Floor Area of the Leased Premises. Nothing in this Section shall be construed to permit the abatement in whole or in part of the Percentage Rent, but, for the purpose of Section 3.02 hereof, the computation of Percentage Rent shall be based upon the revised Fixed Minimum Rent as the same may be abated pursuant to this Section 10.01.

SECTION 10.02. *Landlord's and Tenant's Work*

The provisions of this Article X with respect to repair by Landlord shall be limited to such repair as is necessary to place the Leased Premises in the same condition as when possession was delivered by Landlord. Promptly following such condemnation, Tenant shall, at Tenant's expense, perform any work required to place the premises in the condition pursuant to Exhibit B and Tenant shall restore, repair or replace its stock in trade fixtures, furniture, furnishings, floor coverings and equipment, and if Tenant has closed, Tenant shall promptly reopen for business.

SECTION 10.03. *Condemnation*

If the whole of the Leased Premises, or so much thereof as to render the balance unusable by Tenant, shall be taken under power of eminent domain, or otherwise transferred in lieu thereof, or if any part of the Shopping Center is taken and its continued operation is not, in Landlord's sole opinion, economical, this Lease shall automatically terminate as of the date possession is taken by the condemning authority. No award for any total or partial taking shall be apportioned, and Tenant hereby unconditionally assigns to Landlord any award which may be made in such taking or condemnation. In the event of a partial taking which does not result in the termination of this Lease, Minimum Rent shall be apportioned according to the part of the Leased Premises remaining usable by Tenant.

SECTION 10.04. *Condemnation Award*

All compensation awarded or paid for any taking or acquiring under the power or threat of eminent domain, whether for the whole or a part of the Leased Premises or Shopping Center, shall be the property of Landlord, whether such damages shall be awarded as compensation for diminution in the value of the leasehold or to the fee of the Leased Premises or otherwise, and Tenant hereby assigns to Landlord all of the Tenant's right, title and interest in and to any and all such compensation; provided, however, that Landlord shall not be entitled to any award specifically made to Tenant for the taking of Tenant's trade fixtures, furniture or leasehold improvements to the extent of the cost to Tenant of said improvements (exclusive of Landlord's contribution), less depreciation computed from the date of said improvements to the expiration of the original term of this lease.

ARTICLE XI DEFAULT AND REMEDIES

11.01. Definitions. In the event that Tenant (a) fails to pay all or any portion of any sum due from Tenant hereunder pursuant to any Exhibit hereto within five (5) days following notice; (b) fails to cease all conduct prohibited hereby immediately upon receipt of written notice from Landlord; (c) fails to take actions in accordance with the provisions of written notice from Landlord to remedy Tenant's failure to perform any of the terms, covenants and conditions hereof; (d) fails to conduct business in the Leased Premises as herein required; (e) commits an act in violation of this Lease which Landlord has previously notified Tenant to cease more than once in any year; (f) becomes bankrupt, insolvent or files any debtor proceeding, takes or has taken against Tenant any petition of bankruptcy; takes action or has action taken against Tenant for the appointment of a receiver for all or a portion of Tenant's assets, files a petition for a corporate reorganization; makes an assignment for the benefit of creditors, or if any other manner Tenant's interest hereunder shall pass to another by operation of law (any or all of the occurrences in this said Section 11.01(f) shall be deemed a default on account of bankruptcy for the purposes hereof and such default on account of bankruptcy shall apply to and include any Guarantor of this Lease); (g) commits waste to the Leased Premises; or (h) is otherwise in breach of Tenant's obligations hereunder and shall not have cured same within ten (10) days following written notice from Landlord; then Tenant shall be in default hereunder and Landlord may, at its option and without further notice to Tenant, (1) terminate Tenant's right to possession of the Leased Premises and without terminating this Lease re-enter and resume possession of the Leased Premises and/or (2) declare this Lease terminated, and may thereupon in either event remove all person and property from the Leased Premises, with or without resort to process of any court, either by force or otherwise, or (3) declare the rent for the whole unexpired term of this Lease at once due and exigible and thus at once demand and sue for the entire rent for the whole term. Notwithstanding such re-entry by Landlord, Tenant hereby indemnifies and holds Landlord harmless from any and all loss or damage which Tenant may incur by reason of the termination of this Lease and/or Tenant's right to possession hereunder. In no event shall Landlord's termination of this Lease and/or Tenant's right to possession of the Leased Premises abrogate Tenant's agreement to pay rent and additional charges due hereunder for the full term hereof. Following re-entry of the Leased Premises by Landlord, Tenant shall continue to pay all such rent and additional charges as same become due under the terms of this Lease, together with all other expenses incurred by Landlord in regaining possession until such time, if any, as Landlord relets same and the Leased Premises are occupied by such successor, it being understood that Landlord shall have no obligations to mitigate

Tenant's damages by reletting the Leased Premises. Upon reletting, sums received from such new lessee by Landlord shall be applied first to payment of costs incident to reletting; any excess shall then be applied to any indebtedness to Landlord from Tenant other than for Fixed Minimum and Percentage Rent; and any excess shall then be applied to the payment of Minimum and Percentage Rent due and unpaid. The balance, if any, shall be applied against the deficiency between all amounts received hereunder and sums to be received by Landlord on reletting, which deficiency Tenant shall pay to Landlord in full, within five (5) days of notice of same from Landlord. Tenant shall have no right to any proceeds of reletting that remain following application of same in the manner set forth herein. The Percentage Rent for which Tenant remains prospectively liable under the provisions hereof shall be a sum equal to the greatest amount of Percentage Rent paid by Tenant for any Lease Year since the Commencement Date multiplied by the number of years remaining in the term at the time of such termination.

SECTION 11.02. *Rights and Remedies*

The various rights and remedies herein granted to landlord shall be cumulative and in addition to any others Landlord may be entitled to by law or in equity, and the exercise of one or more rights or remedies shall not impair Landlord's right to exercise any other right or remedy. In all events, Landlord shall have the right upon notice to Tenant to cure any breach by Tenant at Tenant's sole cost and expense, and Tenant shall reimburse Landlord for such expense upon demand.

SECTION 11.03. *Bankruptcy*

If Landlord shall not be permitted to terminate this Lease as hereinabove provided because of the provisions of Title 11 of the United States Code relating to Bankruptcy, as amended ("Bankruptcy Code"), the Tenant as a debtor-in-possession or any trustee for Tenant agrees promptly, within no more than fifteen (15) days upon request by Landlord to the Bankruptcy Court, to assume or reject this Lease and Tenant on behalf of itself, and any trustee agrees not to seek or request any extension or adjournment of any application to assume or reject this Lease by Landlord with such Court. In such event, Tenant or any trustee for Tenant may only assume this Lease if (a) it cures or provides adequate assurance that the trustees will promptly cure any default hereunder, (b) compensates or provides adequate assurance that Tenant will promptly compensate Landlord for any actual pecuniary loss to Landlord resulting from Tenant's defaults, and (c) provides adequate assurance of performance during the fully stated term hereof of all of the terms, covenants, and provisions of this Lease to be performed by Tenant. In no event after the assumption of this Lease shall any then-existing default remain uncured for a period in excess of the earlier of ten (10) days or the time period set forth herein. Adequate assurance of performance of this Lease, as set forth hereinabove, shall include, without limitation, adequate assurance (1) of the source of rent reserved hereunder, (2) that any Percentage Rent due hereunder will not decline from the levels anticipated, and (3) the assumption of this Lease will not breach any provision hereunder. In the event of a filing of a petition under the Bankruptcy Court, Landlord shall have no obligation to provide Tenant with any services or utilities as herein required, unless Tenant shall have paid and be current in all payments of Operating Costs, utilities or other charges therefor.

SECTION 11.04. *Landlord's Lien*

To the fullest extent allowable by law, the Landlord shall have a lien on the goods, furniture and effects belonging to Tenant for rent payable hereunder and all other charges due Landlord hereunder, which lien shall be superior to all other liens of any kind or character whatsoever. No goods, furniture and effects shall be removed from the Leased Premises without the written consent of Landlord, except in the ordinary course of business, until all rent and other applicable charges have been paid.

SECTION 11.05. *Legal Expenses*

In case suit shall be brought, or an attorney shall be employed, for recovery or possession of the Leased Premises, for the recovery of rent or any other amounts due under the provisions of this Lease, or for the enforcement of, or because of the breach of, any covenant herein contained on the part of Tenant to be kept or performed, and a breach shall be established, Tenant shall pay to Landlord all costs and expenses incurred, including reasonable attorney's fees.

ARTICLE XII ASSIGNMENT AND SUBLETTING

SECTION 12.01. *Assignment and Subletting*

Tenant acknowledges that Tenant's agreement to operate in the Leased Premises for the Permitted Use set forth in Section 1.01 hereof for the fully stated term hereof was a primary inducement and precondition to Landlord's agreement to lease the Leased Premises to Tenant. Accordingly, Tenant's interest in the Leased Premises shall be limited to the use and occupancy thereof in accordance with the provisions hereof and shall be non-transferable. Any attempts by Tenant to sublet the Leased Premises in whole or in part or to sell, assign, lien, encumber or in any manner transfer this Lease or any interest therein shall constitute a default hereunder, as shall any attempt by Tenant to assign or delegate the management or to permit the use or occupancy of the Leased Premises or any part hereof by anyone other than Tenant. Landlord and Tenant acknowledge and agree that the foregoing provisions have been freely negotiated by the parties hereto and that Landlord would not have entered into this Lease without Tenant's consent to the terms of this Section 12.01. Any attempt by Tenant to sublet all or any portion of the Leased Premises, to encumber same, or to in any manner transfer, convey, assign Tenant's interest therein, allow the use or management thereof, shall be void *ab initio*.

Notwithstanding any assignment or subletting, Tenant and any guarantor of Tenant's obligations under this Lease shall at all times remain fully responsible and liable for the payment of the rent herein specified and for compliance with all of its other obligations under this Lease (even if future assignments and sublettings occur subsequent to the assignment or subletting by Tenant, and regardless of whether or not Tenant's approval has been obtained for such future assignments and sublettings). Moreover, in the event the rental due and payable by a sublessee (or a combination of the rental payable under such sublease plus any bonus or other consideration thereof or incident thereto) exceeds the rental payable under this Lease, or if with respect to a permitted assignment, permitted license or other transfer by Tenant permitted by Landlord, the consideration payable to Tenant by the assignee, licensee or other transferee exceeds the rental payable under this Lease, then Tenant shall be bound and obligated to pay Landlord all such excess rental and other excess consideration within ten (10) days following receipt thereof by Tenant from such sublessee, assignee, licensee or other transferee, as the case may be. Finally, in the event of an assignment or subletting, it is understood and agreed that all rentals paid to Tenant by an assignee or sublessee shall be received by Tenant in trust for Landlord, to be forwarded immediately to Landlord without offset or reduction of any kind; and upon election by Landlord such rentals shall be paid directly to Landlord as specified in Section 3.08 of this Lease (to be applied as a credit and offset to Tenant's rental obligation). Tenant shall pay Landlord a fee of \$200 for Landlord's review for Tenant's required documentation.

SECTION 12.02. *Change of Control*

In furtherance of the provisions of Section 12.01 hereof, if Tenant is a corporation and if the person or persons who own a majority of its voting shares at the time of the execution hereof cease to own a majority of such shares at any time hereafter, except as a result of transfers by gift, bequest, or inheritance by or among immediate family members, Tenant shall so notify Landlord. In the event of such change of ownership, whether or not Tenant has notified Landlord thereof, Landlord may terminate this Lease by notice to Tenant effective sixty (60) days from the date of such notice from Tenant, or the date on which Landlord first has knowledge of such transfer, whichever shall first occur. This Section 12.02 shall not apply as long as Tenant is a corporation, the outstanding voting stock of which is listed on a recognized security exchange. If Tenant is a sole proprietorship, in the event of his incapacity or death, Landlord shall have the option to terminate this Lease upon sixty (60) days' prior written notice to Tenant or his legal representative. Tenant shall pay Landlord a fee of \$200 for Landlord's review for Tenant's required documentation.

SECTION 12.03. *Dissolution of Partnership*

If Tenant is a partnership or if any partner and partners withdraw from the partnership, or if the partnership is otherwise dissolved, or control of the partnership changes, Tenant shall so notify Landlord. In the event of such withdrawal or dissolution, Landlord may terminate this Lease by notice to Tenant effective ninety (90) days from the date of such notice from Tenant or the date on which Landlord first has knowledge of such withdrawal or dissolution, whichever shall first occur.

ARTICLE XIII RIGHT OF ENTRY

SECTION 13.01. *Right of Entry*

Landlord or Landlord's agents shall have the right to enter the Leased Premises at all times to examine the same, and to show them to prospective purchasers or tenants of the building or Shopping Center, and to make such repairs, alterations, improvements or additions as Landlord may deem necessary or desirable, and Landlord shall be allowed to take all material into and upon the Leased Premises that may be required therefor without the same constituting an eviction of Tenant in whole or in part, and the rent reserved shall in no way abate while said repairs, alterations, improvements, or additions are being made, by reason of loss or interruption of business of Tenant, or otherwise. During the twelve (12) months prior to the expiration of the Lease Term or any renewal term, Landlord may exhibit the Leased Premises to prospective tenants or purchasers, and place upon the Leased Premises the usual notices "For Lease" or "For Sale" which notices Tenant shall permit to remain thereon without molestation.

ARTICLE XIV TENANT'S PROPERTY

SECTION 14.01. *Taxes*

Tenant shall be responsible for and shall pay before delinquency all municipal, county or state taxes, levies and fees of every kind and nature, including, but not limited to, general or special assessments assessed during the Lease Term against any personal property of any kind, owned by or placed in, upon or about the Leased Premises by the Tenant and taxes assessed on the basis of Tenant's occupancy thereof, including, but not limited to, taxes measured by Rents due from Tenant hereunder.

SECTION 14.02. *Notices by Tenant*

Tenant shall give immediate telephone or telegraphic notice to Landlord in case of fire, casualty, or accidents in the Leased Premises or in the building of which the Leased Premises are a part or of defects therein or in any fixtures or equipment and shall promptly thereafter confirm such notice in writing.

SECTION 14.03. *Loss and Damage*

Landlord shall not be liable for any damage to property of Tenant, nor for the loss of or damage to any property of Tenant nor of others by theft or otherwise. Landlord shall not be liable for any injury (including death) or damage to persons or property resulting from fire, failing plaster, steam, gas, electricity, water, rain or snow or leaks from any part of the Leased Premises or from the pipes, appliances or plumbing works or from the roof, street or subsurface or from any other place or by dampness or by any other cause of whatsoever nature. Landlord shall not be liable for any such damage caused by other tenants or persons in the Leased Premises, occupants of adjacent property of the Shopping Center, or the public, or caused by operations in construction of any private, public or quasi-public work. Landlord shall not be liable for any latent defect in the Leased Premises or in the building of which they form a part except for a period of one (1) year from the date of substantial completion of the Shopping Center and then, within one (1) year, only for the curing of such defects. All property of Tenant kept or stored on the Leased Premises shall be so kept or stored at the risk of the Tenant only, and Tenant shall hold Landlord harmless from any claims arising out of damage to the same, including subrogation claims by Tenant's insurance carriers, unless such damage shall be caused by the willful act or gross neglect of Landlord.

ARTICLE XV SUCCESSION TO LANDLORD'S INTEREST

SECTION 15.01. *Attornment*

Tenant shall attorn and be bound to any of Landlord's successors under all the terms, covenants and conditions of this Lease for the balance of the remaining term.

SECTION 15.02. *Subordination*

This Lease shall be subordinate to the lien of any mortgage or security deed or the lien resulting from any other method of financing or refinancing now or hereafter in force against the Shopping Center, any portion thereof, or upon any buildings hereafter placed upon the land of which the Leased Premises are a part, and to any and all advances to be made under such mortgages, and all renewals, modifications, extensions, consolidations and replacements thereof. The aforesaid provisions shall be self-operative and no further instrument of subordination shall be required to evidence such subordination. Tenant covenants and agrees to execute and deliver, upon demand, such further instrument or instruments subordinating this Lease on the foregoing basis to the lien of any such mortgage or mortgages as shall be desired by Landlord and any mortgagees or proposed mortgagees, and hereby irrevocably appoints Landlord the attorney-in-fact of Tenant to execute and deliver such instrument or instruments within ten (10) days after written notice to do.

SECTION 15.03. *Mortgagee's Approval*

If any mortgagee of the Shopping Center requires any modification of the terms and provisions of this Lease as a condition to such financing as Landlord may desire, then Landlord shall have the right to cancel this Lease if Tenant fails or refuses to approve and execute such modification(s) within thirty (30) days after Landlord's request therefor, provided said request is made prior to the Commencement Date. Upon such cancellation by Landlord, this Lease shall be null and void and neither party shall have any liability either for damages or otherwise to the other by reason of such cancellation. In no event, however, shall Tenant be required to agree, and Landlord shall not have any right of cancellation for Tenant's refusal to agree, to any modification of the provisions of this Lease relating to: the amount of rent or other charges reserved herein; the size and/or location of the Leased Premises; the duration and/or Commencement Date of the term; or the reduction of the improvements to be made by Landlord to the Leased Premises prior to delivery of possession.

SECTION 15.04. *Estoppel Certificate*

Within ten (10) days after request therefor by Landlord, or in the event that upon any sale, assignment or hypothecation of the Leased Premises and/or the land thereunder by Landlord an estoppel certificate shall be required from Tenant, Tenant agrees to deliver in recordable form, a certificate to any proposed mortgagee or purchaser, or to Landlord, certifying that this Lease is unmodified and in full force and effect (or, if there have been modifications, that the same is in full force and effect as modified, and stating the modifications), that there are no defenses or offsets thereto (or stating those claimed by Tenant) and the dates to which Fixed Minimum Rent, Percentage Rent and other charges have been paid.

ARTICLE XVI SURRENDER OF LEASED PREMISES

SECTION 16.01. *Condition on Surrender*

At the expiration or earlier termination of this Lease, Tenant shall surrender the Leased Premises to Landlord broom clean and in the same condition as when tendered by Landlord, reasonable wear and tear and insured casualty expected. Tenant shall promptly repair any damage to the Leased Premises caused by the removal of any furniture, trade fixtures or other personal property placed in the Leased Premises.

SECTION 16.02. *Holding Over*

Should Tenant, with Landlord's written consent, hold over at the end of the term, Tenant shall become a Tenant at will and any such holding over shall not constitute an extension or reconduction of this Lease. During such holding over, Tenant shall pay rent and other charges at one and one-half (12) the highest monthly rate provided for herein. If Tenant holds over at the end of the term without Landlord's written consent, Tenant shall pay Landlord as liquidated damages, a sum equal to twice the rent to be paid by Tenant to Landlord for all the time Tenant shall so retain possession of the premises; provided that the exercise of Landlord's rights under this clause shall not be interpreted as a grant of permission to Tenant to continue in possession.

ARTICLE XVII MISCELLANEOUS

SECTION 17.01. *Waiver*

The waiver by Landlord of any breach of any term, covenant or condition herein contained shall not be deemed to be a waiver of such term, covenant or condition or any subsequent breach of the same or any other term, covenant or condition herein contained. The subsequent acceptance of rent hereunder by Landlord shall not be deemed to be a waiver of any preceding breach by Tenant of any term, covenant or condition of this Lease, other than the failure of Tenant to pay the particular rental so accepted, regardless of Landlord's knowledge of such preceding breach at the time of acceptance of such rent. No covenant, term or condition of this Lease shall be deemed to have been waived by Landlord, unless such waiver be in writing by Landlord.

SECTION 17.02. *Accord and Satisfaction*

No payment by Tenant or receipt by Landlord of a lesser amount than the monthly rent herein stipulated shall be deemed to be other than on account of the earliest stipulated rent, nor shall any endorsement or statement on any check or any letter accompanying any check or payment as rent be deemed an accord and satisfaction, and Landlord may accept such check or payment without prejudice to Landlord's right to recover the balance of such rent or pursue any other remedy in this Lease provided.

SECTION 17.03. *Entire Agreement*

This Lease and the Exhibits and Rider, if any, attached hereto and forming a part hereof, set forth all the covenants, promises, agreements, conditions and understandings between Landlord and Tenant concerning the Leased Premises and there are no covenants, promises, agreements, conditions or understandings, either oral or written, between them other than as are herein set forth. Except as herein otherwise provided, no subsequent alteration, amendment, change or addition to this Lease shall be binding upon Landlord or Tenant unless reduced to writing and signed by them.

SECTION 17.04. *No Partnership*

Landlord does not, in any way or for any purpose, become a partner of Tenant in the conduct of its business, or otherwise, or joint adventurer or a member of a joint enterprise with Tenant. The provisions of this Lease relating to the Percentage Rent payable hereunder are included solely for the purpose of providing a method whereby the rent is to be measured and ascertained.

SECTION 17.05. *Force Majeure*

In the event that Landlord shall be delayed or hindered in or prevented from doing or performing any act or thing required hereunder by reason of strike, lock-outs, casualties, Acts of God, labor troubles, inability to procure materials, failure of power, governmental laws or regulations, riots, insurrection, war or other causes beyond the reasonable control of Landlord, then Landlord shall not be liable or responsible for any such delays and the doing or performing of such act or thing shall be excused for the period of the delay and the period for the performance of any such act shall be extended for a period equivalent to the period of such delay.

SECTION 17.06. *Notices*

Any notice, demand, request or other instrument which may be or are required to be given under this Lease shall be delivered personally or sent by either United States certified mail postage prepaid or expedited mail service and shall be addressed (a) if to Landlord at the address provided in Section 1.01 for Landlord or at such other address as Landlord may designate by written notice and (b) if to Tenant at the address provided in Section 1.01 for Tenant or at such other address as Tenant shall designate by written notice. Notices shall be effective upon delivery unless delivery is refused or cannot be made in which event notice shall be effective on

mailin Any notice, demand, request or other instrument which may be or are required to be given under this Lease shall be delivered personally or sent by either United States certified mail postage prepaid or expedited mail service and shall be addressed (a) if to Landlord at the address provided in Section 1.01 for Landlord or at such other address as Landlord may designate by written notice and (b) if to Tenant at the address provided in Section 1.01 for Tenant or at such other address as Tenant shall designate by written notice. Notices shall be effective upon delivery unless delivery is refused or cannot be made in which event notice shall be effective on mailing.

SECTION 17.07. *Captions and Section Number*

The captions, section numbers, article numbers, and index appearing in this Lease are inserted only as a matter of convenience and in no way define, limit, construe, or describe the scope or intent of such section or articles of this Lease nor in any way affect this Lease.

SECTION 17.08. *Tenant Defined, Use of Pronoun.*

The word "Tenant" shall be deemed and taken to mean each and every person or party mentioned as a Tenant herein, be the same one or more; and if there shall be more than one Tenant, any notice required or permitted by the terms of this Lease may be given by or to any one thereof, and shall have the same force and effect as if given by or to all thereof. The use of the neuter singular pronoun to refer to Landlord or Tenant shall be deemed a proper reference even though Landlord or Tenant may be an individual, a corporation, or a group of two or more individuals or corporations. The necessary grammatical changes required to make the provisions of this Lease apply in the plural sense where there is more than one Landlord or Tenant and to either corporations, associations, partnerships, or individuals, males or females, shall in all instances be assumed as though in each case fully expressed.

SECTION 17. Not applicable

SECTION 17.10. *Partial Invalidity*

If any term, covenant or condition of this Lease or the application thereof to any person or circumstance shall, to any extent, be invalid or unenforceable, the remainder of this Lease, or the application of such term, covenant or condition to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby and each term, covenant or condition of this lease shall be valid and be enforced to the fullest extent permitted by law.

SECTION 17.11. *Execution of Lease*

The submission of this Lease for examination does not constitute a reservation of or option for the Leased Premises and this Lease becomes effective as a Lease only upon execution and delivery thereof by Landlord and Tenant. If Tenant is a corporation, Tenant shall furnish Landlord with such evidence as Landlord reasonably requires to evidence the binding effect on Tenant of the execution and delivery of this Lease.

SECTION 17.12. *Recording*

Tenant agrees not to record this Lease. However, Tenant and Landlord, upon request of either, agree to execute and deliver a memorandum or so-called "short form" of this Lease in recordable form for the purpose of recordation at Tenant's expense. Said memorandum or short form of this Lease shall describe the parties, the Leased Premises and the Lease Term and shall incorporate this Lease by reference.

SECTION 17.13. *Applicable Law*

The Laws of the State in which the premises are located shall govern the validity, performance and enforcement of this Lease.

SECTION 17.14. *Rider*

A rider consisting of _____ () pages, with sections numbered consecutively 17.22 through 17.23, is attached hereto and made a part hereof.

SECTION 17.15. *Time is of the Essence*

Time is of the essence of this Agreement

SECTION 17.16. *Successors and Assigns*

Except as otherwise provided herein, this Lease shall be binding upon and inure to the benefit of the parties hereto and their respective heirs, personal representatives, executors, successors and assigns.

SECTION 17.17. *Survival of Obligations*

The provisions of this Lease with respect to any obligation of Tenant to pay any sum owing in order to perform any act after the expiration or other termination of this Lease shall survive the expiration or other termination of this Lease.

SECTION 17.18. *Counterclaim and Jury Trial*

In the event that the Landlord commences any summary proceedings or action for non-payment of rent or other charges provided for in this Lease, Tenant shall not interpose any counterclaim of any nature or description in any such proceeding or action. Tenant and Landlord both waive a trial by jury of any or all issues arising in any action or proceeding between the parties hereto or their successors, under or connected with this Lease, or any of its provisions.

SECTION 17.19. *Representations*

Tenant acknowledges that neither Landlord nor Landlord's agents, employees or contractors have made any representations or promises with respect to the Leased Premises, the Shopping Center or this Lease except as expressly set forth herein.

SECTION 17.20. *Landlord's Liability*

Landlord's liability hereunder shall be limited solely to Landlord's interest in the Shopping Center.

IN WITNESS WHEREOF, the parties hereto have executed this Lease this day and year first above written.

WITNESSES: (Landlord)

LANDLORD: WESTMART PROPERTIES, L.L.C.

By: Steven P. Hebert

Its: MANAGING PARTNER

WITNESSES: (Tenant)

TENANT:

By:

Its:

/ads/lease/blank.std

LANDLORD ACKNOWLEDGMENT

STATE OF LOUISIANA

PARISH OF

On this _____ day of _____, 20____, before me, a Notary Public, in and for the aforesaid Parish and State, appeared _____, to me personally known, who, being by me duly sworn, did say that he executed the foregoing instrument in the above stated capacity and that he acknowledged the instrument to be his own free act and deed.

Notary Public

My Commission Expires:

TENANT ACKNOWLEDGMENT

STATE OF

COUNTY/PARISH OF

On this _____ day of _____, 199____, before me, a Notary Public, in and for the aforesaid Parish and State, appeared _____, _____, to me personally known, who, being by me duly sworn, did say that he executed the foregoing instrument in the above stated capacity and that he acknowledged the instrument to be his own free act and deed.

Notary Public

My Commission Expires:

GUARANTY

FOR VALUE RECEIVED, and in consideration for, and as an inducement to Westmart Properties, L.L.C., with offices at 106 St. Nazaire, Broussard, La. 70518, (hereinafter referred to as "Landlord"), to make the foregoing Lease Agreement dated _____, 20____, _____ for the Leased Premises at Westmart Shopping Center, Lafayette, Louisiana, with _____ (hereinafter referred to as "Tenant"), the undersigned _____, unconditionally guarantees the full performance and observance of all the covenants, conditions and agreements therein provided to be performed and observed by Tenant, Tenant's successors and assigns and expressly agrees that the validity of this agreement and obligations of the guarantor hereunder shall in no way be terminated, affected or impaired by reason of the granting by Landlord of any indulgences to Tenant or by reason of the assertion by Landlord against Tenant of any of the rights or remedies reserved to Landlord pursuant to the provisions of the within Lease or by the relief of the Tenant from any of Tenant's obligations under said Lease by operation of law or otherwise (including, but without limitation, the rejection of said Lease in connection with proceedings under the bankruptcy laws now or hereafter enacted); the undersigned hereby waiving all suretyship defenses.

The undersigned further covenants and agrees that this guaranty shall remain and continue in full force and effect as to any renewal, modifications or extension of said Lease, whether or not the undersigned shall have received any notice of or consented to such renewal, modification or extension. The undersigned further agrees that its liability under this guaranty shall be primary, and that in any right of action which shall accrue to the Landlord under this Lease, the Landlord may, at Landlord's option, proceed against the undersigned and the Tenant, jointly, severally, or in solido, and may proceed against the undersigned without having commenced any action against or having obtained any judgment against the Tenant.

It is agreed that the failure of the Landlord to insist in any one or more instances upon a strict performance or observance of any of the terms, provisions or covenants of the foregoing Lease or to exercise any right therein contained shall not be construed or deemed to be a waiver or relinquishment for the future of such term, provision, covenant or right, but the same shall continue and remain in full force and effect. Receipt by Landlord of rent with knowledge of the breach of any provision of the foregoing Lease shall not be deemed a waiver of such breach.

No subletting, assignment or other transfer of the within Lease, or an interest therein, shall operate to extinguish or diminish the liability of the undersigned guarantor under this guaranty; and whatever reference is made to the liability of the Tenant named in the within Lease, such reference shall be deemed likewise to refer to the undersigned guarantor.

IN WITNESS WHEREOF, the undersigned guarantor has unto set his hand and seal this ____ day of _____, 20__.

WITNESSES:

GUARANTOR: _____

STATE OF
COUNTY/PARISH OF

Before me, the undersigned Notary Public, and in the presence of the above witnesses, personally came and appeared
, who signed the foregoing instrument and acknowledged the same to be his/her free act and deed, on this ____ day of
_____, 20__.

Notary Public

My Commission Expires:

Address of Guarantor:

Social Security Number

Phone No.(Home)

(Work)

TENANT'S CORPORATE RESOLUTION

BE IT RESOLVED by the Board of Directors of _____, a _____ corporation, that _____, be and is hereby authorized for and on behalf of this corporation, as Tenant, to make, sign, execute and deliver written Leases affecting approximately _____ square feet of space in the _____ Shopping Center, in the City of _____, State of _____, in favor of any person, partnership or corporation in his discretion.

These Leases may be for such space, at such rental and other consideration, for such term, in such form, and may contain such stipulations, provisions, covenants, conditions as the officer named above may consider as appropriate or desirable in his own judgment and discretion.

BE IT FURTHER RESOLVED, that the above named officer is authorized to do anything and everything necessary or which he may consider desirable to complete and execute such Leases and to effect the purpose of this resolution, all of his lawful acts to this end being ratified and confirmed.

CERTIFICATE

I, _____, do hereby certify that I am duly elected Secretary of _____, and that the foregoing resolutions were unanimously adopted by the Board of Directors of this corporation, in conformity with the Charter and By-laws of this corporation, at a meeting held by them on the _____ day of _____, 19____, at the office of the corporation, at which meeting all of the members of the Board of Directors were present in person or by proxy and waived notice of the meeting, and each voted unanimously in favor thereof. These resolutions have not been modified or rescinded, and are still in full force and effect.

_____, _____ this _____ day of _____, 20____.

Secretary

RIDER

Attached to that Lease dated the _____ day of _____, 20__, by and between WESTMART PROPERTIES, L.L.C., as "Landlord" and _____, as "Tenant". The provisions of this Rider shall supersede and control over any conflicting provision contained in the Lease Agreement.

SECTION 17.22

The rights set forth in this paragraph shall exist in favor of only the Original Tenant (herein called the Original Tenant) and shall cease to exist if the Original Tenant makes an Assignment or Sublease. The rights set forth herein shall not inure to the benefit of any successor or assignee tenant or any other tenant.

Anything in this Lease to the contrary notwithstanding, Landlord and Original Tenant hereby agree as follows: If the Original Tenant shall, during the whole of said term and any renewal or extension thereof, well and faithfully keep and perform the terms, covenants and conditions in this Lease contained on Tenant's part to be kept and performed, the Original Tenant shall have the option to extend the term of this Lease upon the same terms and conditions as those herein specified with the Rental Terms as set forth below for _____ () **additional periods of _____ () years**, such period to date from the end of the primary term, by giving Landlord written notice of Original Tenant's exercise of said option at least ninety (90) days before the beginning of the additional period for which the term hereof is to be extended by the exercise of such option. If Original Tenant gives such notice, this Lease shall be so extended automatically without execution of an extension or renewal lease. It is expressly agreed that Original Tenant shall not have an option again to extend the term of this Lease beyond the expiration of the said renewal period.

In the event Tenant elects to exercise its Option to Renew the Lease as provided for herein, Tenant shall pay the following amount as Minimum Rent during the renewal period:

First Option Period:	\$ per square foot annually
Second Option Period:	\$ per square foot annually

In order to exercise the Option contained herein, Tenant must remain current in the payment of all minimum and additional rent due during the Original Lease Term. In addition, Tenant must not be placed in default of this Lease for any reason during the Original Lease Term.

Landlord

Tenant

EXHIBIT "A"

Landlord

Tenant

EXHIBIT B
LANDLORD'S CONSTRUCTION OBLIGATION
LANDLORD'S "VANILLA SHELL" CONSTRUCTION

TENANT
LAFAYETTE, LOUISIANA

GENERAL

1. The Leased Premises shall have the layout and approximate dimensions as shown in the drawing in this Exhibit B.
2. Landlord shall furnish a floor slab (flat and on grade with front sidewalk), a complete structural system for the shell and a built-up roof overhead, or other roofing at Landlord's discretion or design.

INTERIOR PARTITIONS AND SIDEWALLS

1. Landlord shall provide partition walls enclosing a single bathroom within the Storage Area. This bathroom shall have one door.
2. Landlord shall prepare gypsum board walls in the Sales Area for paint or wall covering. Tenant is responsible for the cost of interior painting or wall covering.

PLUMBING

1. Landlord shall furnish complete bathroom plumbing as required by local code for one restroom. Fixtures shall include one water closet, one lavatory and one mirror over the lavatory.
2. Landlord shall furnish necessary drain piping for HVAC units.

HVAC

1. Landlord shall provide complete three-phase air conditioning and heating equipment and the associated duct work from such manufacturers as York, Carrier, Bryant or equal, as approved by Landlord.
2. Size of air conditioning system to be based on one ton of air conditioning for every 350 to 400 square feet of Sales Area.

FRONT AND REAR EXTERIORS

1. Landlord shall furnish the storefront with a design and material of Landlord's selection. Any modifications to the storefront shall be at Tenant's expense and must be approved in advance in writing by Landlord.
2. Rear wall shall be sheetrock.

PAINTING

1. Landlord is responsible for painting and color selection of all exterior walls.
2. Tenant is responsible for all interior painting and/or wallpaper.

Landlord

Tenant

EXHIBIT C
DESIGN CRITERIA FOR TENANT SIGNAGE
WESTMART PROPERTIES, L.L.C.
LAFAYETTE, LOUISIANA

1. Tenant shall submit separate drawings and specifications in quadruplicate, including colors, for all its proposed sign work. The drawings shall clearly show on the storefront elevation drawings the location of all signs, graphics, color, construction and attachment details. Within a reasonable time after the receipt of such drawings and specifications, Landlord shall return one set thereof to Tenant with its approval and/or any suggested modifications thereof, and if Tenant shall fail to take exception thereof by written notice to Landlord given within ten days from Tenants receipt of the suggested modifications from Landlord, Tenant shall be deemed to have agreed to and approved all such suggested modifications.
2. Tenants sign shall be store identity signs only and shall be placed on the exterior canopy in the area designated for signs. No signs will be suspended from the fascia. Box signs are not allowed.
3. Channel letters are required.
4. No free standing signs will be permitted.
5. The maximum length of Tenants lettering may not exceed 75% of Tenants leased space. All conductors and other equipment shall be concealed within the raceway or mounted sufficiently within the sign letters.
6. No exposed neon light will be used on signs, symbols or decorative elements. No exposed neon lights will be acceptable if visible, unless approved or specified by Landlord, in writing.
7. Tenants letters on doors, window and/or show windows, may not be illuminated and may not exceed six inches (6") in height.
8. Tenant shall not employ paper signs to be applied to the interior or exterior faces of the storefront glass or other material.
9. Tenant shall not employ any flashing action, moving action or audible signs.
10. Tenants signs shall be in accordance with ordinances of governing bodies.
11. Tenants sign manufacturer and/or installer must receive the prior written approval of Landlord before initiating installation of the sign, or performing any work on the sign.
12. The Tenants schedule for entry into the canopy to install Tenants sign must be approved in advance in writing by Landlord. Any other entry into the canopy area is to be approved by Landlord in advance. Tenant is responsible for any damages incurred during such entry or as a result of the sign installation.

13. Tenant is responsible for the cost of any patching or repairs required as a result of previous sign installations in the vicinity of Tenants sign. The Tenant is also responsible for the patching required by the Tenants own sign installation and removal.
14. All letters shall be attached as per attached details and Landlords specifications.
15. Each letter must be U.L. rated and labeled as such.

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**EXHIBIT D
ACCEPTANCE OF LEASED PREMISES**

Tenant herein acknowledges that it has inspected the Leased Premises with a representative of Landlord. Tenant herein accepts the Leased Premises for Occupancy and/or Tenant reconstruction of Lease Space in its present "as is" condition. Landlord herein acknowledges that it shall make the following repairs and/or replacements and/or removals at its sole cost and expense as per the Lease Agreement between Tenant and Landlord:

NONE.

If after tenant takes possession of the Leased Premises, there are items that need repairs and/or replacements and/or removals, Tenant shall make these repairs and/or replacements and/or removals at its sole cost and expense in accordance with Exhibit B attached hereto and made a part hereof.

Acknowledged and Accepted by Tenant and Landlord, this ____ day of _____, _____.

TENANT:

By: _____

Its:

LANDLORD: WESTMART PROPERTIES, L.L.C.

By: _____

Its:

EXHIBIT "E"
TENANT IMPROVEMENTS

LANDLORD and TENANT agree for the lease of retail space at Westmart Shopping Center, _____ W. Congress St., Lafayette, Louisiana.

As an incentive for TENANT, to lease _____ square feet at Westmart Shopping Center, Lessor agrees to provide the following:

- a.
- b.
- c.

All other terms and conditions to remain the same.

Westmart Properties, L.L.C.

Tenant